AUTHENTICATED U.S. GOVERNMENT INFORMATION GPO

FEDERAL REGISTER

VOLUME 3 NUMBER 185

Washington, Thursday, September 22, 1938

The President

EXECUTIVE ORDER

DESIGNATION OF INDEPENDENT ESTABLISHMENTS AND AGENCIES UNDER SECTION 6 OF EXECUTIVE ORDER NO. 7916 OF JUNE 24, 1938

By virtue of and pursuant to the authority vested in me by the Constitution, section 1753 of the Revised Statutes (U. S. C., title 5, sec. 631), and the Civil Service Act (22 Stat. 403), and as President of the United States, I hereby designate the following-named independent establishments and agencies as organizations which are required to comply with the provisions of section 6 of Executive Order No. 7916, dated June 24, 1938,[1] relating to the establishment of Divisions of Personnel Supervision and Management:

Civil Aeronautics Authority
Civil Service Commission
Farm Credit Administration
General Accounting Office
Government Printing Office
Interstate Commerce Commission
The Panama Canal
Railroad Retirement Board
Securities and Exchange Commission
Social Security Board
United States Housing Authority
United States Maritime Commission
Veterans' Administration

FRANKLIN D ROOSEVELT

THE WHITE HOUSE,
September 16, 1938.

[No. 7975–A]

[F. R. Doc. 38–2766; Filed, September 20, 1938; 2:30 p. m.]

[1] 3 F. R. 1526 DI.

Rules, Regulations, Orders

TITLE 9—ANIMALS AND ANIMAL PRODUCTS

BUREAU OF ANIMAL INDUSTRY

[Amendment 2 to B. A. I. Order 366 [1]]

AMENDMENT OF ORDER TO PREVENT THE INTRODUCTION INTO THE UNITED STATES OF RINDERPEST AND FOOT-AND-MOUTH DISEASE

SEPTEMBER 21, 1938.

Under authority conferred by law upon the Secretary of Agriculture by Section 306 of the Tariff Act of 1930 (46 Stat. 689), the order to prevent the introduction into the United States of rinderpest and foot-and-mouth disease (B. A. I. Order 366), dated May 27, 1938, and effective June 1, 1938, as amended, is hereby further amended by restoring the name "Sweden" to the list of countries in said order, as I have determined that foot-and-mouth disease again exists in said country of Sweden and I have so officially notified the Secretary of the Treasury.

The effect of this amendment is to render commodities specified in B. A. I. Order 366, originating in Sweden, subject to the provisions of said B. A. I. Order 366, from which they were released by Amendment 1 thereto.

Amendment 1 to B. A. I. Order 366, effective September 3, 1938,[2] is hereby revoked.

This amendment, which for purpose of identification is designated Amendment 2 to B. A. I. Order 366, shall be effective on and after September 21, 1938. (Sec. 306, 46 Stat. 689, Sec. 2, 32 Stat. 792, 45 Stat. 59; 19 U. S. C. 1306 (a), (b), and (c), 21 U. S. C. 111.) [B. A. I. Order 366, unnumbered paragraph 1, as amended

[1] Amending 9 CFR 8.001.
[2] 3 F. R. 2107 DI.

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FEDERAL REGISTER

Published by the Division of the Federal Register, The National Archives, pursuant to the authority contained in the Federal Register Act, approved July 26, 1935 (49 Stat. L. 500), under regulations prescribed by the Administrative Committee, with the approval of the President.

The Administrative Committee consists of the Archivist or Acting Archivist, an officer of the Department of Justice designated by the Attorney General, and the Public Printer or Acting Public Printer.

The daily issue of the FEDERAL REGISTER will be furnished by mail to subscribers, free of postage, for $1 per month or $10 per year; single copies 10 cents each; payable in advance. Remit by money order payable to Superintendent of Documents, Government Printing Office, Washington, D. C.

Correspondence concerning the publication of the FEDERAL REGISTER should be addressed to the Director, Division of the Federal Register, The National Archives, Washington, D. C.

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by Amendment 1, August 27, 1938, and by Amendment 2, September 21, 1938.]

Done at Washington this 21st day of September 1938. Witness my hand and the seal of the Department of Agriculture.

[SEAL] H. A. WALLACE,
Secretary of Agriculture.

[F. R. Doc. 38-2777; Filed, September 21, 1938; 12:59 p. m.]

TITLE 11—AVIATION

CIVIL AERONAUTICS AUTHORITY

[Amendment No. 1 of Regulation 401-B-1]

APPLICATION FOR CERTIFICATES OF CONVENIENCE AND NECESSITY

At a session of the Civil Aeronautics Authority held at its office in Washington, D. C., on the 16th day of September 1938.

Acting pursuant to the Authority vested in it by the Civil Aeronautics Act of 1938, particularly sections 205 (a) and 401 (b) thereof, and finding that such action is desirable in the public interest and is necessary to carry out the provisions of and to exercise and perform its powers and duties under such Act, the Civil Aeronautics Authority hereby amends Regulation 401-B-1[1] as follows:

(1) By amending paragraph (c) thereof to read as follows:

"(c) *Amendments to application.*—If after receipt of any application, the Authority shall request the applicant to supply it with additional information, such information shall be furnished in the form of an amendment to the original application. All amendments to applications shall be consecutively numbered and shall comply with the requirements of this regulation as to form, number of copies, manner of execution, verification and in all other essential respects. In the event that any application shall be amended so as to alter the route or routes, the terminal or intermediate points, or the classes of traffic covered by such application, the amendment shall contain a statement that notice of such amendment has been served on each such air carrier in the form and manner, and containing the information, required by clause (6) of paragraph (j) of this regulation for the service of notice of intention to file an original application. A copy of such notice shall be attached to the amendment as an exhibit."

(2) By inserting at the end of paragraph (j) thereof a new clause (6) which shall read as follows:

"(6) State that the applicant has caused a notice of its intention to file such application with the Authority to be served upon each scheduled air carrier shown on a list of such air carriers issued by the Authority, such list to have been so issued not more than sixty (60) days prior to the time of filing such application with the Authority: *Provided*, That no application filed on, or prior to, September 26, 1938, need contain the information required by this clause (6) but, if it does not contain such information, the same shall be supplied, on or before October 17, 1938, by amendment to the application. Each such notice shall state the name and address of the applicant, the route or routes over which, and the terminal and intermediate points between which, the applicant proposes to operate, and the classes of traffic to be embraced within the certificate for which application is made. The application shall state that service of such notice has been made either by delivering a copy thereof personally to each such air carrier or by the mailing thereof by registered mail, postpaid, giving the date of such delivery or mailing. A copy of such notice shall be attached to the application as an exhibit. The application need not be accompanied by any further proof of service but upon setting any application down for public hearing, the Authority will cause notice of such hearing to be given to such interested parties as it deems appropriate in the particular case."

By the Authority.

[SEAL] PAUL J. FRIZZELL,
Secretary.

[F. R. Doc. 38-2763; Filed, September 20, 1938; 1:01 p. m.]

[1] 3 F. R. 2049 DI.

[Regulation 402-D-1]

APPLICATION FOR FOREIGN AIR CARRIER PERMITS (GRANDFATHER CLAUSE)

At a session of the Civil Aeronautics Authority held at its office in the City of Washington, D. C., on the 16th day of September, 1938.

The Civil Aeronautics Authority, exercising the powers and duties vested in it by sub-section (d) of section 402 and by sub-section (a) of section 205 of the Civil Aeronautics Act of 1938, and finding that its action is consistent with the provisions of said Act and necessary and appropriate to carry out the provisions thereof, hereby makes and promulgates the following regulation:

REGULATION 402-D-1. APPLICATION FOR FOREIGN AIR CARRIER PERMITS (GRANDFATHER CLAUSE)

(a) *Scope of regulation.*—The application of any foreign air carrier who holds a permit issued by the Secretary of Commerce under section 6 of the Air Commerce Act of 1926, as amended, which was in effect on May 14, 1938, and which permit authorizes such air carrier to operate between any foreign country and the United States, requesting the issuance to it of a permit under the terms of section 402 (c) of the Act, shall be filed with the Civil Aeronautics Authority at its office in Washington, D. C., and shall comply with the provisions of this regulation. Regulations for applications for foreign air carrier permits by others than those entitled thereto under the terms of section 402 (c) of the Act will hereafter be prescribed by the Authority.

(b) *Number of copies.*—Ten copies of each such application shall be filed with the Authority. Only two of such copies

need be actually executed on behalf of the applicant. The names and titles of all signing officers shall be clearly typed or printed beneath their signatures. All unexecuted copies filed with the Authority shall contain typed, printed or facsimile signatures. Each copy must be clear and legible in all respects.

(c) *Verification.*—The signed copies of each application shall be verified by three of applicant's officers who shall be respectively the chief executive, the chief financial and the chief operating officer. In the event of the unavailability of any such officer, the acting officer charged with responsibility for his duties may execute such verification in his stead. Every such verification shall set forth that the persons verifying the same have read and are familiar with the contents of the application and the attached exhibits; that they intend and desire that in granting or denying the rights and privileges applied for, the Authority shall place full and complete reliance on the accuracy of each and every statement therein set forth; that to the best of their information and belief, every statement contained in the application is true and no such statement is misleading; and that, in their opinion, the application does not omit to state any facts known to them which would be deemed by the Authority to be of importance to it in reaching its determinations in connection therewith. Every such verification shall be subscribed and sworn to before a Notary Public or other officer (including any United States consular officer) authorized to administer oaths in the jurisdiction in which such application is executed. Notwithstanding the laws of the country of applicant's citizenship, an application verified before a United States consular officer will be deemed to have met the requirements of this paragraph.

(d) *Service of notice.*—State that the applicant has caused a notice of its intention to file such application with the Authority to be served upon each scheduled air carrier and foreign air carrier shown on a list or lists of such air carriers or foreign air carriers, or both, issued by the Authority after September 15, 1938. Each such notice shall state the name and address of the applicant, the route or routes over which, and the terminal and intermediate points between which, the applicant conducts or proposes to conduct operations, and the classes of traffic to be embraced within the permit for which application is made. The application shall state that service of such notice has been made either by delivery of a copy thereof personally to each such air carrier and foreign air carrier or by the mailing thereof by registered mail post-paid, giving the date of such delivery or mailing. A copy of such notice shall be attached to the application as an exhibit. The application need not be accompanied by any further proof of service but upon setting any application down for public hearing, the Authority will cause notice of such hearing to be given to such interested parties as it deems appropriate in the particular case.

(e) *Amendments to application.*—If, after receipt of any application, the Authority shall request the applicant to supply it with additional information, such information shall be furnished in the form of an amendment to the original application. All such amendments shall be consecutively numbered and shall comply with the requirements of this regulation as to form, number of copies, manner of execution, verification, and in all other essential respects. In the event that an application shall be amended so as to alter the route or routes, the terminal or intermediate points, or the classes of traffic, covered by such application, the amendment shall contain a statement that notice of such amendment has been served on each such air carrier and foreign air carrier in the form and manner, and containing the information, required by paragraph (d) for the service of notice of intention to file an original application. A copy of each such notice shall be attached to the amendment as an exhibit.

(f) *Formal requirements.*—Every application for a foreign air carrier permit shall be made on paper approximately 8½ x 13 inches in size, except that exhibits or other documents attached thereto may be folded to those dimensions. Every such application shall be typewritten, printed or reproduced by some other process which will produce a clear and durable result on firm, tough paper. A margin of at least one inch in width shall be left on the left hand side of all pages and all applications must be bound on that side. All pages of an application shall be consecutively numbered and the application shall clearly describe and identify each exhibit by a separate number or symbol. All exhibits shall be deemed to constitute a part of the application to which they are attached.

(g) *Time of filing.*—An application shall be deemed to have been filed only when it is actually received by the Civil Aeronautics Authority at its office in Washington, D. C.

(h) *Cover page.*—A space of approximately 2½ by 4 inches shall be left blank on the upper right hand corner of the cover page of each application. This space will be used by the Authority for filing purposes. The cover page of each application shall clearly indicate that the application is made by a foreign air carrier pursuant to Regulation 402–D–1; shall give the name of the applicant, and also shall indicate briefly the routes covered by such application, the services (passenger, mail and property) to be rendered on the respective routes, and whether such operations are to be scheduled or non-scheduled. At the bottom of the cover page shall be given the name, title and address of the person to whom communications from the Authority with respect to the application are to be sent.

(i) *Contents of application.*—The statements contained in an application shall be restricted to significant and relevant facts. They shall be free from argumentation, and, except as may be required by this regulation, any expression of opinion. Opportunity for argument will be given in the subsequent proceedings.

Each application shall give full and adequate information with respect to each of the items set forth in this paragraph of this regulation. In addition, the application may contain such other information and data as the applicant shall deem necessary or appropriate in order to acquaint the Authority fully with the particular circumstances of its case. Among other things, every such application shall give the following information:

1. The full name and address of the applicant, the nature of its organization (individual, partnership, corporation, etc.) and, if other than an individual, the name of the country under the laws of which it is organized, and the statutory citation of such laws, if any. If the applicant is governmentally-owned, that fact should be shown, or if jointly owned by governmental and private interests the percentage owned by each.

2. The name, title, address and citizenship of the principal officers and members of applicant's managing board, and if a partnership, of the members of the applicant.

3. The name and official address of the competent air authority of applicant's country of citizenship having regulatory jurisdiction over applicant.

4. If applicant's country of citizenship, or of organization, or of the country or countries from which applicant proposes to conduct an air transportation service to the United States, requires applicant to obtain authorization from it to engage in such air transportation service, a statement or statements that such authorizations or consents have been obtained, briefly setting forth the nature and conditions thereof.

5. A statement as to whether applicant's country of citizenship or of organization, or the country or countries from which applicant proposes to conduct an air transportation service to the United States;

(A) has entered into a reciprocal agreement with the United States providing for the routes and services to be covered by the permit for which application is made;

(B) has entered into a reciprocal air navigation arrangement with the United States, or is the signatory to an international convention covering the subjects of such reciprocal air navigation arrangements to which the United States is a party.

6. A statement as to whether all airmen employed in the proposed service

are required to and at all times will be possessed of appropriate airman certificates or licenses qualifying them to engage in the type of operation for which a permit is sought.

7. A statement setting forth the methods to be employed by applicant which will provide that the crews or some members thereof, or the ground personnel stationed in the United States shall be possessed of such linguistic ability as to insure effective voice communication between the aircraft and the ground station located at the port of entry of the United States.

8. A statement as to whether all aircraft employed in the proposed service are required to be and at all times will be possessed of certificates of airworthiness issed by the competent air authority having regulatory jurisdiction over such aircraft. The statement should also include the name of the country issuing such certificates. List all aircraft employed in the service, indicating ownership, make, model and type, license or certificate number, and international markings, number, make and type of engines, number of crew and passenger capacity. Briefly describe the aircraft employed in the service to be covered by the permit for which application is made and indicate generally the nature of appliances with which the aircraft is or will be equipped. State particularly whether all such aircraft are or will be equipped with:

(a) one or two-way radio,
(b) radio range beacon receiver, and
(c) a two-way radio telephone communication system.

9. Identify route or routes to be covered by the permit for which application is made, specifying the type or types of service (mail, passengers and property) to be rendered on each such route, and whether or not such services are to be rendered in scheduled operations. If the applicant carries mail under contract with the United States Government state briefly the terms of such contract. The identification of each route shall name every terminal and intermediate point to be served by applicant in connection with the service for which a permit is sought.

10. A map (to be attached as an exhibit) drawn approximately to scale, showing all terminal and intermediate points, both in the United States and in all foreign countries to be served by applicant in connection with the service for which this permit is sought, giving the approximate air mileages between all adjacent points, and principal over-all distances. This map should indicate all of such points which are now served by other foreign or by domestic air carriers, indicating by arrows the directions flown by such interconnecting carriers and indicating their principal terminals. This map should also show the routes flown and points served by any other air carrier which might reasonably be considered to offer a service competing with that which is the subject of the application.

11. A brief description (including a statement of the frequency of schedules) of the operations of the applicant and of any of its predecessors in interest since May 14, 1938. The application shall state that a permit for the service applied for was issued by the Secretary of Commerce under section 6 of the Air Commerce Act of 1926, as amended, giving the date thereof, and that such permit was in effect on May 14, 1938.

12. State whether the applicant filed with the Authority a designation in writing of an agent for the purposes specified in, and as required by, section 1005 (b) of the Act.

By the Authority.

[SEAL] PAUL J. FRIZZELL,
Secretary.

[F. R. Doc. 38-2764; Filed, September 20, 1930; 1: 01 p. m.]

[Amendment No. 2 of General Order 403-1]

POSTPONEMENTS OF EFFECTIVE DATE OF PARTS OF SECTION 403 OF THE CIVIL AERONAUTICS ACT OF 1938

At a session of the Civil Aeronautics Authority held at its office in Washington, D. C., on the 16th day of September, 1938.

Acting pursuant to the Authority vested in it by the Civil Aeronautics Act of 1938, particularly sections 205 (a) and 1110 thereof (52 Stat. 973, 984, 1030), and finding that such action is desirable in the public interest and necessary to carry out the provisions of and to exercise and perform its powers and duties under such Act, the Civil Aeronautics Authority hereby amends General Order 403-1, as heretofore amended, so that hereafter such order shall read as follows:

GENERAL ORDER 403-1. (AS AMENDED SEPTEMBER 9, 1938,[1] AND SEPTEMBER 16, 1938) POSTPONEMENTS OF EFFECTIVE DATE OF PARTS OF SECTION 403

(a) The provisions of this order shall not effect any postponement of the effective date of the second sentence of subsection (b) of section 403 of the Civil Aeronautics Act of 1938, which reads as follows:

"Nothing in this Act shall prohibit such air carriers or foreign air carriers, under such terms and conditions as the Authority may prescribe, from issuing or interchanging tickets or passes for free or reduced-rate transportation to their directors, officers, and employees and their immediate families; witnesses and attorneys attending any legal investigation in which any such air carrier is interested; persons injured in aircraft accidents and physicians and nurses attending such persons; and any person or property with the object of providing relief in cases of general epidemic, pestilence, or other calamitous visitation; and, in the case of overseas or foreign air transportation, to such other persons and under such other circumstances as the Authority may by regulations prescribe."

(b) Except as provided in paragraph (a) of this order, the effective date of all the provisions of section 403 of said Act is hereby postponed as to all air carriers and all foreign air carriers, of every class and description, to the extent that such provisions shall not be effective as to such air carriers or foreign air carriers on or before October 17, 1938; and as to any such air carrier or foreign air carrier which is engaged exclusively in overseas or foreign air transportation, or both, the effective date of said provisions are further postponed to the extent that such provisions shall not be effective as to such air carrier or foreign air carrier on or before November 1, 1938.

(c) Except as provided in paragraph (a) of this order, the effective date of the provisions of said section 403 of the Act are hereby further postponed to and including December 20, 1938, as to all classes of air carriers or foreign air carriers except those who have maintained or shall maintain one or more regular schedules of operation on or after August 22, 1938, and except those who are not directly engaged in air transportation.

By the Authority.

[SEAL] PAUL J. FRIZZELL,
Secretary.

[F. R. Doc. 38-2765; Filed, September 20, 1938; 1:01 p. m.]

[Regulation 403-A-1]

FILING, POSTING AND PUBLISHING OF TARIFFS BY AIR CARRIERS AND FOREIGN AIR CARRIERS

At a session of the Civil Aeronautics Authority held in the City of Washington, D. C., on the 16th day of September 1938.

Acting pursuant to the Authority vested in it by the Civil Aeronautics Act of 1938, particularly sections 403 (a), 403 (c) and 205 (a) of said Act, and finding that its action is desirable in the public interest and is necessary to carry out the provisions of, and to exercise and perform its powers and duties under, said Act, the Civil Aeronautics Authority hereby makes and promulgates the following regulation:

REGULATION 403-A-1. FILING, POSTING AND PUBLISHING OF TARIFFS BY AIR CARRIERS AND FOREIGN AIR CARRIERS

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[1] 3 F. R. 2222 DI.

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All tariffs filed on or after August 22, 1938, must conform to this regulation unless otherwise authorized by special permission of the Authority. The provisions of this regulation are not applicable to the transportation of mail.

1. Filing, Posting and Publishing of Tariffs

(a) *Who may file.*—A tariff specifying single-sum rates[1] for service by one air carrier[2] shall be known as a "local tariff". A tariff specifying single-sum rates for service partly by one air carrier and partly by one or more other air carriers shall be known as a "joint tariff". A local tariff or a joint tariff may be filed with the Authority by an air carrier, or through any duly authorized agent.

(b) *Designation of Agent.*—An air carrier may designate any one or more agents (who may be, but are not required to be, officers and employees of such carrier) to file tariffs or concurrences on its behalf with the Authority by giving such agent or agents a power of attorney and by filing such power of attorney with the Authority. Such agent or agents are sometimes referred to in this regulation as the "designated agent" or the "designated agents". There shall be enclosed with each such power of attorney the signature and the initials of each designated agent therein named, certified by the secretary (or person authorized to perform similar functions) of such air carrier as being the signature and the initials of such designated agent. If more than one agent be designated by any air carrier in any such power of attorney so filed, such power of attorney must contain provisions authorizing each such agent to act alone, or requiring two or more of such agents to act jointly, in filing any tariff with the Authority. Each such power of attorney so filed with the Authority by an air carrier shall be binding until notice of revocation thereof is filed with the Authority by such air carrier. An illustrative form of such a power of attorney is set forth in Appendix A hereto.

(c) *Method of filing.*—Each air carrier shall transmit to the Authority at its office in Washington, D. C., three (3) copies of each tariff, such copies to be included in one package and under one letter of transmittal. An illustrative form of letter of transmittal is set forth in Appendix B hereto. The word "Tariffs" must appear on the outside of the package. No tariff will be received by the Authority unless it is free from all charges, including claims for postage. The copies of each tariff filed must bear on the cover or title page the signature of the air carrier or of its designated agent or agents, and the copies of each revised page of a loose-leaf tariff filed must bear, at some place other than in the left-hand margin, the signature or the initials of the air carrier or its designated agent or agents.

(d) *Method of posting and publishing.*—A copy of the tariff issued by each air carrier shall be posted and published by the air carrier in a conspicuous place in each of its general offices, and in each office maintained by it, individually or jointly with others, for the sale of passenger tickets, or for the receipt or delivery of property for transit, at each point named in the tariff. The copies so posted and published shall be readily accessible for public examination.

(e) *Effect of filing.*—The filing of a tariff with the Authority in no way relieves an air carrier from liability for any violation of the Act or of regulations issued thereunder.

2. Form of Tariff

(a) *Size and binding.*—Tariff pages shall be eight and one-half by eleven inches in size. In the case of tariffs covering express only, pages may be nine and one-half by eleven and one-half inches in size. Tariffs shall be in book, pamphlet, or loose-leaf form and bound or securely fastened along the left-hand side. A margin of at least one inch in width must be left blank along the left-hand side of all pages included in the tariff.

(b) *Paper and preparation.*—Tariffs in book or pamphlet form must appear on firm, tough paper of durable quality, and must be clear, legible and in such form as may easily be read and understood. Pages of loose-leaf tariffs may consist of thin paper of strong texture, blank on one side. Cover pages may consist of cover stock of durable quality. All pages other than the cover page shall be plainly printed in not less than 8-point bold or full face type, except that reference marks, footnotes, and explanations relating to the tables or text on any page, may be printed in not less than 6-point bold or full face type, and except further that stereotype, mimeograph, planograph, or other similar durable process may be used if each copy filed, posted and published is clear and legible in all respects. Reproductions by hectograph, or other similar process, typewritten sheets, or proof sheets may not be filed or posted. Copies of tariffs posted and which the air carrier shall keep open to public inspection as required by this regulation shall be replaced as often as may be necessary with fresh copies in order that such copies shall be complete and legible. No alterations in writing or erasures shall be made in any tariff after such tariff shall have been filed with the Authority.

(c) *Numbering of pages.*—All pages of each tariff, other than the cover or title page, must be consecutively numbered "1", "2", etc., except that page numbering in the case of a loose-leaf tariff containing a check sheet shall be as provided in Rules 3 (e) and 4 (a) of this regulation.

3. Contents of Tariff

(a) *In general.*—No tariff may contain any advertising except the trade marks, insignia, maps, or slogans of the issuing and concurring air carriers. Statements of rates, classifications, rules, regulations, practices and services, and explanations of reference marks, shall be as clear and simple as possible. No air carrier may issue or concur in a tariff if such tariff would when effective conflict with another effective tariff issued by it or in which it has concurred.

(b) *Separation of passenger and property rates.*—If the same tariff shall contain both rates for the transportation of passengers and for the transportation of property, other than the property of passengers carried as baggage, such rates shall be separated into distinct passenger and property sections.

(c) *Cover or title page.*—Either the cover or title page of each tariff must contain sufficient information to identify and describe clearly the tariffs contained therein and their application. Illustrations of cover or title pages are set forth in Appendices C and D hereto. The cover or title page of a loose-leaf tariff should contain only such information as will

[1] The word "rates" as used in this regulation includes "fares" and "charges" unless the context otherwise requires.

[2] The words "air carrier" as used in this regulation include "foreign air carrier".

remain constant even though particular rates may be changed from time to time. Tariffs must be given consecutive numbers by the air carrier with the prefix "CAA" in the upper right hand corner of the cover or title page; but the air carrier's own tariff number may be shown elsewhere.

(d) *Contents of inside pages.*—Each tariff must contain:

Table of contents.—A full and complete statement of the exact location where information respecting each subject of the tariff will be found, specifying page or item numbers. If a tariff contains so small a volume of matter that its cover or title page or its arrangement plainly discloses its contents, the table of contents may be omitted.

Names of carriers.—The exact names, alphabetically arranged, of all air carriers over whose lines the tariff is applicable, together with an identification of any concurrences under which such tariff is issued, unless such information is fully shown on the cover or title page.

Description of commodities.—A full and complete statement or description of the commodities (including a definition of baggage) within the scope of the tariff.

Index of stations.—Separate alphabetical indexes of all points of origin and all destinations named in the tariff, except that one index will suffice when the tariff is applicable in both directions, and except further that if the points of origin and the destinations are shown throughout the tariff in continuous alphabetical order, the index may be omitted.

Explanation of reference marks, etc.—Separate and clear explanations of symbols, reference marks and abbreviations of terms used throughout the tariff, except that explanation of a symbol, reference mark or abbreviation used only on one page of the tariff may be shown on that page.

Rules governing tariffs.—A statement of such classifications, rules, regulations, practices, and services in connection with air transportation, and explanatory statements, separately stated by subjects, regarding the contents of the tariffs (including explanatory statements governing canceled or interrupted trips and charges for excess baggage and a statement that, except as otherwise indicated in the tariff, rates do not include any charge for ground transportation from airports to any town or city) as may be necessary to make clear beyond doubt the proper application and effect of such tariffs.

Statement of rates.—Following the foregoing, the tariff shall set forth, in a simple and systematic manner, a statement of all rates for air transportation of passengers and property (separated as required by this regulation). All places to and from which, or between which, such rates apply (completely identified by reference to the States or other governmental units in which such places are located) must be stated. In addition to rates required by the Act to be included in the tariff, rates between points in the same or different foreign countries may be included for information.

Free or reduced rate transportation.—Rules and rates relating to free and reduced rate transportation need not be included in the tariff unless specifically required by the Authority.

(e) *Loose-leaf tariffs.*—In addition to the matter required by paragraph (d) of this Rule 3, a loose-leaf tariff shall contain a sheet or sheets, to be known as "check sheets," by which all currently effective pages of the tariff may be identified. Each page of such a tariff must show, at the top, the name of the issuing air carrier, the word "Original" or the revision number and the number of the tariff preceded by the prefix "C. A. A." and, at the bottom, the date of issue and the effective date.

4. Changes in Tariffs

(a) *Methods of making.*—Any changes in a tariff must be made by supplements thereto or by a reissue thereof except that any changes in loose-leaf tariffs must be made by substituting pages on which changes are made (the substituted page to bear the notation "Substitute for Original Page —"), or new pages may be inserted bearing the same number, if any, as the pages which they are to follow, with a letter added, as "4-a", or bearing new numbers if such new pages follow the last numbered page of the tariff. All new pages (as distinguished from substitute pages) of a loose-leaf tariff must be designated "Original" when first filed. Notice of every such change and of the date when the same is to become effective, together with copies of such substituted or new pages as aforesaid, shall be filed with the Authority within such time prior to the effective date thereof as is prescribed by section 403 (c) of the Act. Similar notice and copies shall also be posted and published in the same manner and at the same places as required for the original posting and publishing of a tariff. Any notice of such a proposed change filed too late to give the Authority the notice required by the Act is subject to rejection and return. No consideration will be given to telegraphic or other advice of the dispatch of notice of any such proposed change to the Authority, or to the time during which such change may be in transit to the Authority.

(b) *Status of supplements.*—Supplements to a tariff, and substitute, or new, pages of a loose-leaf tariff, are subject to this regulaton in the same manner and to the same extent as original tariffs, except that substitute pages of loose-leaf tariffs must be designated as "1st Revision", "2d Revision," etc., and except further that supplements to the same tariff shall be consecutively numbered, and the cover or title page of each supplement shall show the number thereof above the CAA number of the tariff, as:

SUPPLEMENT No. 4
(Cancels Supplements Nos. 1 and 3)
to
Tariff CAA No. —
(Supplements Nos. 2 and 4 contain all changes from the original tariff which will be effective on the effective date hereof.)

(c) *Cancelation of tariff.*—Cancelation of a tariff in its entirety must be by supplement, filed, posted and published, as herein provided, solely for that purpose, which must show where any rates substituted for the rates named in the canceled tariff will be found after such cancelation becomes effective, or that no rates will thereafter be in effect, together with the reason therefor. Such cancelation of a tariff also cancels all supplements thereto in effect at the time such cancelation becomes effective. Cancelation of a portion of a tariff or supplement must be specific. The filing, posting and publishing, as herein provided, of a revised page of a loose-leaf tariff automatically cancels the original or immediately preceding revision of the page as of the effective date of such revised page. Rates may not be restored by cancelation of a cancelation supplement but must be filed, posted and published as if the same were new rates.

(d) *Designation of changes.*—Changes made in tariffs and supplements on file with the Authority must be uniformly indicated by the use of the following symbols:

- ↓ to denote reductions in rates.
- ♦ to denote increases in rates.
- ▲ to denote changes in wording which result in neither increases nor reductions in rates.
- ● to denote no change.

These symbols must be shown and explained in the tariff or supplement in which used and must not be used for any other purpose. Use of the symbols may be reduced by appropriate notation conspicuously and distinctively shown on the tariff, supplement, or individual page thereof, as "All rates in this supplement are increases, unless otherwise indicated," "All matter in this tariff is reissued without change, unless otherwise indicated, from CAA No. —, effective December —, 1938, except as noted in individual items."

(e) *Volume of supplemental matter.*—The aggregate volume of supplemental matter currently in effect should not exceed approximately one-third of the volume of the principal tariff. The Authority may direct the reissue of any tariffs at any time.

5. Effecting Filing of Joint Tariffs

(a) *Concurrence in joint tariffs.*—No air carrier may file a tariff naming rates for service partly by it and partly by another air carrier or other air carriers without the concurrences of the latter.

(b) *Contents and disposition of concurrences.*—Three signed copies of each

concurrence must be issued. One original counterpart thereof must be filed with the Authority with the first joint tariff issued thereunder; another original counterpart thereof must be retained by the air carrier or agent to whom such concurrence is issued; and a third original counterpart thereof must be retained by the concurring air carrier. An illustrative form of concurrence is set forth in Appendix E hereto.

(c) *Posting and publishing of concurrences unnecessary.*—Concurrences specified in this Rule need not be posted or published in the tariffs issued thereunder.

(d) *Effect of giving concurrence.*—The granting of authority to issue tariffs under concurrences does not relieve the air carrier granting such authority from the necessity of complying with the law in respect of the posting and publishing of all joint tariffs to which it is a party at all points at which it is required to post and publish its own local tariffs; nor does it confer upon the air carrier, to whom a concurrence is granted, authority to cancel any tariffs other than joint ones. Cancelation of such other tariffs must be made by the air carrier issuing them either for itself or through its designated agent or agents.

(e) *Copies of tariffs to participating carriers.*—Copies of each tariff issued under concurrences specified in this regulation must be sent by the air carrier issuing the tariff to each air carrier that is named as concurring therein at the same time such tariffs are delivered or transmitted to the Authority.

(f) *Revocation.*—Any air carrier which has concurred in a joint tariff may revoke its concurrence therein by filing with the Authority not less than 45 days before the effective date of such revocation a notice of revocation substantially in the form set forth in Appendix F hereto. A copy of such notice must be sent at the same time to the air carrier to whom such concurrence was given. The notice must definitely identify the concurrence revoked and must specify the date such revocation is to become effective.

(g) *Designation of junction points.*—Unless otherwise specifically provided in the tariff, joint tariffs will apply via any junction point between points of origin and destination which is served by the air carriers making the rates available. Restriction of rates to designated junctions must be clear and definite and must be shown in as simple and systematic manner as possible.

6. Application of Rates

(a) *Methods of stating rates.*—Rates for transportation by aircraft from airport to airport must be stated separately from any charge made by the air carrier for ground transportation to or from airports or for pick-up and delivery service. The tariff must definitely show any separate charge that is to be made by the air carrier or any subsidiary thereof for ground transportation or for pick-up and delivery service. Charges of others for such ground transportation or pick-up and delivery service may be specified in the tariff and shall not be deemed to constitute a part thereof; *Provided*, That they are accompanied by conspicuous notation to the effect that they are published for information only and are not guaranteed by the air carrier.

(b) *Combination rates.*—The rates named in a tariff will apply only for service between the points specified therefor in the tariff, except that such rates may be made applicable for through service beyond such points by providing an appropriate rule in the tariff to the effect that such rates may be used in combination with rates of other air carriers for through service beyond the points named in the tariff.

7. Effect of Suspension by Authority

(a) *Suspension supplement.* — Upon entry by the Authority of an order suspending the operation of any tariff, in whole or in part, and upon service thereof upon the air carrier who issued such tariff, such air carrier must immediately file with the Authority a "suspension supplement", which must also be posted and published in the manner prescribed in this regulation. Such supplement must quote the pertinent portions of the order of suspension which describe the matter suspended, and must state that such matter is under suspension and may not be used until such specified date as the suspension order may name and that the rates theretofore in effect (which must be clearly identified) and sought to be changed by the matter suspended will remain in effect until lawfully changed. The CAA numbers of the tariffs or supplements where such rates so continued in effect may be found must be shown. A suspension supplement must not bear an effective date.

(b) *Changes during suspension.*—During the period of suspension, a suspended rate may not be changed or withdrawn, nor may any change be made in the rate continued in effect as a result of such suspension, except under order or special permission of the Authority. Notation to this effect must be included in the suspension supplement.

(c) *Vacation of suspension.*—When an order of suspension is vacated or otherwise ceases to be effective as of a date earlier than the date to which the operation of the tariff, or portion thereof, was suspended, the air carrier issuing such tariff, or portion thereof, may file and post on not less than one day's notice, unless otherwise provided by the vacating order, a supplement stating the date upon which, in accordance with the terms of the vacating order, such tariff, or portion thereof, will become effective; otherwise such tariff, or portion thereof, will become effective at the expiration of the suspension period. No further supplement need be filed and posted if the order of suspension is vacated as of the expiration of the suspension period.

(d) *Expiration of suspension period before order of Authority.*—If the suspension period expires before the Authority has entered an order vacating its order of suspension or directing cancelation of the suspended tariff, or portion thereof, such suspended matter will become effective as of the expiration of the suspension period without further action by the air carrier or agent. The Authority may later direct the cancelation of matter thus becoming effective. Cancelation ordered by the Authority, whether prior or subsequent to the expiration of the suspension period, must be made effective by filing, posting and publishing an appropriate reissue of the tariff, a supplement thereto, or (if the tariff is in loose-leaf form) a revised page thereof.

8. Rates Prescribed by the Authority

Rates prescribed by order of the Authority shall be filed, posted and published by the air carriers subject to such order in accordance with the terms of such order and this regulation; and separate notice must be sent to the Secretary of the Authority for filing in the docket in which such order was entered to the effect that "the order of the Authority in Docket No. — has been complied with in Item No. —, page No. — of —— (identifying description of tariff)". Such notice must be sent at the same time the tariff is tendered for filing, but must not accompany such tariff.

9. Changes in Air Carriers

The successor to the property or operating control of an air carrier, whether by change of name, consolidation, merger, operating contract, or in any other legal manner, may (subject to the provisions of any order or regulation which may be issued by the Authority under section 408 of the Act) adopt the tariffs to which the air carrier is a party by filing, posting and publishing therewith on not less than one day's notice an "adoption supplement," in the form required for supplements by these regulations, which, after clearly identifying such tariffs, must contain the following provision:

---------- (legal name of successor) hereby adopts, ratifies, and makes its own, in every respect as if the same had been filed, posted and published by it, the tariff specified above, filed with the Civil Aeronautics Authority by ---------- (corporate name of air carrier succeeded).

No further supplement to tariffs so adopted may be filed, and such tariffs must be replaced by a tariff filed, posted

and published by the successor to be effective not more than 60 days from the effective date of the adoption supplement.

10. Exemptions From Filing, Posting and Publishing Requirements

An air carrier seeking to file, post and publish rates on less notice than that required by the Act (except as specifically authorized in this regulation), or seeking exemptions from any of the requirements of this regulation, shall file with the Authority an application, in triplicate, stating fully the nature of the relief sought and the reasons for seeking such relief. Such applications shall be entitled "Application for Special Tariff Permission No. —" and shall be consecutively numbered. Each subject should usually be covered by a separate application. The filing of such application will not stay the requirements of the Act or of this regulation; specific action by the Authority on the application is essential to effect any such stay.

By the Authority.

[SEAL] PAUL J. FRIZZELL,
Secretary.

APPENDIX A

ILLUSTRATIVE FORM OF CORPORATE POWER OF ATTORNEY

(Corporate name of issuing air carrier in full)

(Post-office address)
----------, 19--.

Power of Attorney No. ------
TO THE CIVIL AERONAUTICS AUTHORITY,
Washington, D. C.

The undersigned hereby designates (name of agent) its agent, to file with the Civil Aeronautics Authority under the Civil Aeronautics Act of 1938, and to post and publish, for it alone (or for it jointly with other named air carriers) tariffs pursuant to section 403 of said Act and to the applicable regulations of said Authority issued under said Act (or to concur in any such tariff filed under said Act by any other air carrier or carriers). The present address of such agent is as follows: ----------
The agent so designated has written his name and also his initials in the following blank space: ----------

And the undersigned hereby grants to its said agent full power and authority to perform every act and thing above specified as fully as if the same were performed by it, hereby ratifying and confirming all that its said agent may lawfully do by virtue hereof, and assuming full responsibility for the acts and neglects of its agent hereunder. This power shall continue in effect until the Civil Aeronautics Authority shall be notified in writing of its revocation.

In witness whereof, (corporate name of air carrier) has caused these presents to be signed in its name by (insert title of officer duly authorized by the Board of directors to execute this power of attorney) and to be attested under its corporate seal by its (insert title of officer authorized to attest such seal) at ----------, in the State of---------- ----------, on this -------- day of ------ ------, in the year A. D. 19--.

[CORPORATE SEAL]

(Corporate name of air carrier)
By ---
(Type name under signature and give title)

Attest:

(Type name under signature and give title)

NOTE.—For powers of attorney to be given by air carriers doing business other than in corporate form, appropriate changes may be made in the foregoing suggested form. If the air carrier desires to have two or more agents file any tariff, appropriate provisions to that effect may be inserted.

If it is desired to limit the authority conferred by the power of attorney to the filing of a particular tariff, or to concurring in a particular tariff, provision may be made to that effect provided that identification of such tariff is clear and complete.

APPENDIX B

ILLUSTRATIVE FORM OF LETTER TRANSMITTING TARIFFS

(Exact name of issuing air carrier)

(Post-office address)
----------, 19--.

Tariff Transmittal No. ------
CIVIL AERONAUTICS AUTHORITY,
Washington, D. C.

The accompanying tariff (or supplement, or revised page) is sent you for filing in compliance with the requirements of the Civil Aeronautics Act of 1938. This tariff (or supplement, or revised page) is identified as CAA No. ------ (or Supplement No. ------, or revised page No. ------, to CAA No. ------), effective ----------, 19 --.

(Exact name of issuing air carrier)
By ---
(Type name under signature and give title)

NOTE.—Each power of attorney authorizing an agent or agents of an air carrier to file the tariff must be identified in this letter and the original thereof must be filed with the Authority at or before the time when the first tariff of such air carrier is filed with the Authority; if it be a joint tariff, the concurrences given to the issuing air carrier by the other participating air carriers must be filed at the time of or before the filing of the tariff.

If a receipt for the tariff, supplement, or revised page so submitted is desired, the letter of transmittal must be sent in duplicate. The duplicate, showing the date of receipt by the Authority, will be returned to the sender.

APPENDIX C

ILLUSTRATIVE FORM OF COVER OR TITLE PAGE FOR LOCAL TARIFF OR SUPPLEMENTS

[CAA No. 12 (Cancels CAA No. 11)]

The ---------- Company.

Stamp Here
Date Received

Passenger Tariff No. 20.
(Reissue of Passenger Tariff No. 19.)
(Or: Passenger and Property Tariff No. 16.)
(Or: Supplement No. 1 to Passenger Tariff No. 20.)
One-way (and Round-trip) *fares.*
(Or: *Also basis for constructing round-trip fares.*)
(and other types of fares included in tariff.)
(See footnote 1.)
Issued ----------, 19---- Effective ----------, 19---- (Except as provided in individual items.)
(See footnote 2.)
Issued by:

(Name of air carrier.)
By ---
(Type name under signature and give title.)

[1] If the tariff names fares only between certain points served by the carrier, a brief statement serving to describe those points should be incorporated here, as: "Between ---------- and ---------- and intermediate points along the airways over which ---------- Company operates between those termini." To make the fares available for application to through transportation beyond the points named in the tariff, there should be incorporated here a notation like the following: "Fares named herein may be used, to the extent indicated, and as provided, herein, in making combination fares for air transportation to or from points beyond the points named herein."

[2] Here should be shown in separate paragraphs, appropriate notations of compliance with the orders of the Authority or of special permissions of the Authority for departures from requirements respecting tariff publication, such as: "The fares published herein are in compliance with Order of Civil Aeronautics Authority in Docket No. ——." "This tariff contains fares effective on less than 30 days' notice as provided in individual items. Such departure from the requirements of section 403 of the Civil Aeronautics Act of 1938 is authorized by Special Permission No. ------ dated ----------, of the Civil Aeronautics Authority." "Departures from the requirements of (identify the individual regulation or describe the departure) Tariff Regulation 403–A–1 of the Civil Aeronautics Authority is authorized by Special Permission No. ------ dated ------ ----------, of the Civil Aeronautics Authority." In the case of loose-leaf tariffs such notations may be made on the appropriate tariff pages.

APPENDIX D

ILLUSTRATIVE FORM OF COVER OR TITLE PAGE FOR JOINT TARIFFS, OR LOCAL AND JOINT TARIFFS, OR SUPPLEMENTS

[C. A. A. No. 12 (Cancels C. A. A. No. 11)]

The ---------- Company
Local and Joint Passenger Tariff No. 20.
(Reissue of Local and Joint Passenger Tariff No. 19.)
(Or: Local and Joint Passenger and Property Tariff No. 16.)
(Or: Joint Pasenger Tariff No. 18.)
One-way (and Round-Trip) *Fares.*
(Or: *Also basis for constructing round-trip fares.*)
(and other types of fares included in tariff)
(See footnote 1.)
Issued ----------, 19---. Effective ----------, 19---.
(See footnote 2.)
Concurring Air Carriers. (See page —.)
(See footnote 3.)
Issued by:

(Name of air carrier)
By ---
(Type name under signature and give title)

(Address)

[1] Here should be shown a brief description of the points between which fares are published in the tariff.

[2] Here should be shown in separate paragraphs appropriate notations of compliance with the orders of the Authority or of special permissions of the Authority for departures from requirements respecting tariff publications, such as: "The fares published herein are in compliance with an Order of Civil Aeronautics Authority (identify order)." "This tariff contains fares effective on less than 30 days' notice as provided in individual items. Such departure from the requirements of section 403 of the Civil Aeronautics Act of 1938 is authorized by Special Permission No. ------ dated ----------, of the Civil Aeronautics Authority." "Departures from the requirements of (identify the individual regulation or describe the departure) of Tariff Regulation 403–A–1 of the Civil Aeronautics Authority is authorized by

Special Permission No. ------ dated ------ ----------, of the Civil Aeronautics Authority." In the case of loose-leaf tariffs such notations may be made on the appropriate tariff pages.

[3] Where possible, the list of concurring air carriers may be shown on the cover or title page, but wherever shown must be preceded by the following note: "This tariff is published and filed with the Civil Aeronautics Authority by ----------, with the concurrence of the following air carriers on file with the Authority."

APPENDIX E

ILLUSTRATIVE FORM OF CONCURRENCE FOR PUBLICATION OF JOINT RATES

(Exact name of issuing air carrier)

(Post-office address)

----------, 19--.

Concurrence No. ------

CIVIL AERONAUTICS AUTHORITY,
Washington, D. C.

This is to certify that the (exact name of air carrier giving concurrence) consents to, and concurs in, the filing, posting and publishing of any tariff or tariffs described below, together with notice of changes therein and supplements thereto, or revised pages thereof, by (exact name of air carrier to whom concurrence is given) and hereby makes itself a party thereto and bound thereby until this authority is revoked by formal and official notice of revocation filed with the Civil Aeronautics Authority and sent to (exact name of air carrier to which concurrence is given) pursuant to the applicable Rules and Regulations of said Authority;

(Here give a description, as clear as possible, of the tariff or tariffs to be covered by the concurrence.)

(Exact name of air carrier)

By ---
(Type name under signature and give title)

APPENDIX F

ILLUSTRATIVE FORM OF NOTICE OF REVOCATION OF CONCURRENCE

(Exact name of issuing air carrier)

(Post-office address)

----------, 19--.

Revocation Notice No. ------

CIVIL AERONAUTICS AUTHORITY,
Washington, D. C.

Concurrence No. ------ issued by (exact name of air carrier) in favor of (exact name of air carrier to which concurrence was given) for filing, posting and publishing of (here describe the tariff or tariffs involved, fully and exactly), and supplements thereto or revisions thereof, is hereby canceled and revoked.

A duplicate of this notice of revocation is being sent on this date to (exact name and post-office address of the air carrier) and said air carrier is hereby directed to cancel this air carrier's participation in said tariff, effective as of (insert date).

(Exact name of air carrier)

By ---
(Type name under signature and give title)

[F. R. Doc. 38-2773; Filed, September 21, 1938; 12:36 p. m.]

TITLE 31—MONEY AND FINANCE: TREASURY.

OFFICE OF THE SECETARY

[T. D. 4861]

EXCESS PROFITS ON NAVY CONTRACTS

GUARANTEE EXPENSES, BIDDING AND GENERAL SELLING EXPENSES; EXCESS FACILITIES, BONUSES TO EMPLOYEES, ALLOCATION OF INDIRECT COSTS, TIME FOR FILING ANNUAL REPORTS

To Officers and Employees of the Treasury Department, the Navy Department, and Others Concerned:

PARAGRAPH A. Article 8 (b) of Treasury Decision 4723,[1] approved December 31, 1936, by the Acting Secretary of the Treasury and approved January 6, 1937, by the Acting Secretary of the Navy (C. B. 1937–1, 519), relating to elements of cost, is amended to read as follows:

"(b) *Elements of cost.*—No definitions of the elements of cost may be stated which are of invariable application to all contractors and subcontractors. In general, the elements of cost may be defined for purposes of the Act as follows:

"(1) Manufacturing cost, which is the sum of factory cost (see paragraph (c) of this article) and other manuacturing cost (see paragraph (d) of this article);

"(2) Cost of installation and construction (see paragraph (e) of this article);

"(3) General expenses, which are the sum of indirect engineering expenses, usually termed 'engineering overhead' (see paragraph (f) of this article) and expenses of distribution, servicing and administration (see paragraph (g) of this article); and

"(4) Guarantee expenses (see paragraph (h) of this article)."

PAR. B. Article 8 (g) of Treasury Decision 4723, as amended by Treasury Decision 4741,[2] approved June 1, 1937, by the Acting Secretary of the Treasury and approved June 3, 1937, by the Secretary of the Navy (C. B. 1937–1, 531), relating to expenses of administration, is amended to read as follows:

"(g) *Expenses of distribution, servicing and administration.*—Expenses of distribution, servicing and administration, which are treated in this article as a part of general expenses in determining the cost of performing a contract or subcontract (see pargraph (b) of this article), comprehend the expenses incident to and necessary for the performance of the contract or subcontract, which are incurred in connection with the distribution and general servicing of the contracting party's products and the general administration of the business, such as—

"(1) *Compensation for personal services of employees.*—The salaries of the corporate and general executive officers and the salaries and wages of administrative clerical employees and of the office services employees (telephone operators, janitors, cleaners, watchmen and office equipment repairmen).

"(2) *Bidding and general selling expenses.*—Bidding and general selling expenses which by reference to all the pertinent facts and circumstances reasonably constitute a part of the cost of performing a contract or subcontract. The treatment of bidding and general selling expenses as a part of general expenses in accordance with this paragraph is in lieu of any direct charges which otherwise might be made for such expenses. The term 'bidding expenses' as used in this article includes all expenses in connection with preparing and submitting bids.

"(3) *General servicing expenses.*—Expenses which by reference to all the pertinent facts and circumstances reasonably constitute a part of the cost of performing a contract or subcontract and which are incident to delivered or installed articles and are due to ordinary adjustments or minor defects; but including no items which are treated as a part of guarantee expenses (see paragraph (h) of this article) or as a part of direct costs, such as direct materials, direct labor, and other direct expense.

"(4) *Other expenses.*—Miscellaneous office and administrative expenses, such as stationery and office supplies; postage; repair and depreciation of office equipment; employees' welfare expenses; premiums and dues on compensation insurance; employers' payments to unemployment, old age and social security Federal and State funds not including payments deducted from or chargeable to employees or officers; pensions and retirement payments to administrative office employees and accident compensation to office employees (as to self-insurance, see the following subparagraph); but including no items which are not incidental to activities necessary for the performance of the contract or subcontract.

"Subject to the exception stated in this subparagraph, in cases where a contracting party assumes its own insurable risks (usually termed 'self-insurance'), losses and payments will be allowed in the cost of performing a contract or subcontract only to the extent of the actual losses suffered or payments incurred during, and in the course of, the performance of the contract or subcontract and properly chargeable to such contract or subcontract. If a contracting party assumes its own insurable risks (a) for compensation paid to employees for injuries received in the performance of their duties, or

[1] 2 F. R. 43 (51 DI).
[2] 2 F. R. 977 (1163 DI).

(b) for unemployment risks in States where insurance is required, there may be allowed as a part of the cost of performing a contract or subcontract a reasonable portion of the charges set up for purposes of self-insurance under a system of accounting regularly employed by the contracting party, as determined by the Commissioner of Internal Revenue, at rates not exceeding the lawful or approved rates of insurance companies for such insurance, reduced by amounts representing the acquisition cost in such companies, providing the contracting party adopts and consistently follows this method with respect to self-insurance in connection with all contracts and subcontracts subsequently performed by him.

"Allowances for interest on invested capital are not allowable as costs of performing a contract or subcontract.

"Among the items which shall not be included as a part of the cost of performing a contract or subcontract or considered in determining such cost, are the following: Entertainment expenses; dues and memberships other than of regular trade associations; donations; losses on other contracts; profits or losses from sales or exchanges of capital assets; extraordinary expenses due to strikes or lockouts; fines and penalties; amortization of unrealized approciation of values of assets; expenses, maintenance and depreciation of excess facilities (including idle land and buildings, idle parts of a building, and excess machinery and equipment) vacated or abandoned, or not adaptable for future use in performing contracts or subcontracts; increases in reserve accounts for contingencies, repairs, compensation insurance (except as above provided with respect to self-insurance) and guarantee work; Federal and State income and excess-profits taxes and surtaxes; cash discount earned up to one percent of the amount of the purchase, except that all discounts on subcontracts subject to the Act will be considered; interest incurred or earned; bond discount or finance charges; income from royalties; premiums for life insurance on the lives of officers; legal and accounting fees in connection with reorganizations, security issues, capital stock issues and the prosecution of claims against the United States (including income tax matters); taxes and expenses on issues and transfers of capital stock; losses on investments; bad debts; and expenses of collection and exchange.

"In order that the cost of performing a contract or subcontract may be accounted for clearly, the amount of any excess profits repayable to the United States pursuant to the Act should not be charged to or included in such cost."

PAR. C. Article 8 of Treasury Decision 4723 is amended by eliminating paragraph (h) of such article and by inserting in such article (in lieu of the paragraph so eliminated) the following new paragraphs (h), (i), and (j):

"(h) *Guarantee expenses.*—Guarantee expenses include the various items of factory cost, other manufacturing cost, cost of installation and construction, indirect engineering expenses and other general expenses (see paragraphs (c) to (g), inclusive, of this article) which are incurred after delivery or installation of the article manufactured or constructed pursuant to the particular contract or subcontract and which are incident to the correction of defects or deficiencies which the contracting party is required to make under the guarantee provisions of the particular contract or subcontract. If the total amount of such guarantee expenses is not ascertainable at the time of filing the report required to be filed with the collector of internal revenue (see articles 15 and 16) and the contracting party includes any estimated amount of such expenses as part of the claimed total cost of performing the contract or subcontract, such estimated amount shall be separately shown on the report and the reasons for claiming such estimated amount shall accompany the report; but only the amount of guarantee expenses actually incurred will be allowed. If the amount of guarantee expenses actually incurred is greater than the amount (if any) claimed on the report and the contracting party has made an overpayment of excess profit, a refund of the overpayment shall be made in accordance with the provisions of article 19. If the amount of guarantee expenses actually incurred is less than the amount claimed on the report and an additional amount of excess profit is determined to be due, the additional amount of excess profit shall be assessed and paid in accordance with the provisions of article 19.

"(i) *Unreasonable compensation.*—The salaries and compensation for services which are treated as a part of the cost of performing a contract or subcontract include reasonable payments for salaries, bonuses, or other compensation for services. As a general rule, bonuses paid to employees (and not to officers) in pursuance of a regularly established incentive bonus system may be allowed as a part of the cost of performing a contract or subcontract.

"The test of allowability is whether the aggregate compensation paid to each individual is for services actually rendered incident to, and necessary for, the performance of the contract or subcontract, and is reasonable. Excessive or unreasonable payments whether in cash, stock or other property ostensibly as compensation for services shall not be included in the cost of performing a contract or subcontract.

"(j) *Allocation of indirect costs.*—No general rule applicable to all cases may be stated for ascertaining the proper proportion of the indirect costs to be allocated to the cost of performing a particular contract or subcontract. Such proper proportion depends upon all the facts and circumstances relating to the performance of the particular contract or subcontract. Subject to a requirement that all items which have no relation to the performance of the contract or subcontract shall be eliminated from the amount to be allocated, the following methods of allocation are outlined as acceptable in a majority of cases:

"(1) *Factory indirect expenses.*—The allowable indirect factory expenses (see paragraph (c) (5) of this article) shall ordinarily be allocated or 'distributed' to the cost of the contract or subcontract on the basis of the proportion which the direct productive labor (see paragraph (c) (2) of this article) attributable to the contract or subcontract bears to the total direct productive labor of the production department or particular section thereof during the period within which the contract or subcontract is performed, except that if the indirect factory expenses are incurred in different amounts and in different proportions by the various producing departments consideration shall be given to such circumstances to the extent necessary to make a fair and reasonable determination of the true profit and excess profit.

"(2) *Engineering indirect expenses.*—The allowable indirect engineering expenses (see paragraph (f) of this article) shall ordinarily be allocated or 'distributed' to the cost of the contract or subcontract on the basis of the proportion which the direct engineering labor attributable to the contract or subcontract (see paragraph (c) (3) of this article) bears to the total direct engineering labor of the engineering department or particular section thereof during the period within which the contract or subcontract is performed. If the expenses of the engineering department are not sufficient in amount to require the maintenance of separate accounts, the engineering indirect costs may be included in the indirect factory expenses (see paragraph (c) (5) of this article) and allocated or distributed to the cost of performing the contract or subcontract as a part of such expenses, provided the proportion so allocated or distributed is proper under the facts and circumstances relating to the performance of the particular contract or subcontract.

"(3) *Administrative expenses (or 'overhead').*—The allowable expenses of administration (see paragraph (g) of this article) or other general expenses except indirect engineering expenses, bidding and general selling expenses, and general servicing expenses shall ordinarily be allocated or distributed to the cost of performing a contract or subcontract on the basis of the proportion which the sum of the manufacturing cost (see paragraph (b) of this article) and the cost of installation and construction (see paragraph (e) of this article) attributable to the particular contract or subcontract bears to the sum of the total manufacturing cost and the total cost of installation and construction during the period within

which the contract or subcontract is performed.

"(4) *Bidding, general selling, and general servicing expenses.*—The allowable bidding and general selling expenses and general servicing expenses (see paragraph (g) (2) and (3) of this article) shall ordinarily be allocated or distributed to the cost of performing a contract or subcontract on the basis of—

(i) The proportion which the contract price of the particular contract or subcontract bears to the total sales made (including contracts or subcontracts completed) during the period within which the particular contract or subcontract is performed, or

(ii) The proportion which the sum of the manufacturing cost (see paragraph (b) of this article) and the cost of installation and construction (see paragraph (e) of this article) attributable to the particular contract or subcontract bears to the sum of the total manufacturing cost and the total cost of installation and construction during the period within which the contract or subcontract is performed,

except that special consideration shall be given to the relation which certain classes of such expenses bear to the various classes of articles produced by the contracting party in each case in which such consideration is necessary in order to make a fair and reasonable determination of the true profit and excess profit. See article 13."

PAR. D. Article 16 (b) of Treasury Decision 4723, relating to time for filing annual reports, is amended to read as follows:

"(b) *Time for filing annual reports.*—Annual reports of contracts and subcontracts completed by a contracting party within an income-taxable year beginning after December 31, 1935 must be filed on or before the 15th day of the ninth month following the close of the contracting party's income-taxable year. It is important that the contracting party render on or before the due date an annual report as nearly complete and final as it is possible for the contracting party to prepare. An extension of time granted the contracting party for filing its Federal income tax return does not serve to extend the time for filing the annual report required by this article. Authority consistent with authorizations for granting extensions of time for filing Federal income tax returns is hereby delegated to the various collectors of internal revenue for granting extensions of time for filing the reports required by this article. Application for extensions of time for filing such reports should be addressed to the collector of internal revenue for the district in which the contracting party files its Federal income tax returns and must contain a full recital of the causes for the delay."

This Treasury Decision is prescribed pursuant to the provisions of section 3 of the Act of March 27, 1934, 48 Stat. 505 (U. S. C. title 34, sec. 496), as amended by the Act of June 25, 1936, 49 Stat. 1926 (U. S. C. Sup. II, title 34, sec. 496).

[SEAL] GUY T. HELVERING,
Commisisoner of Internal Revenue.

Approved: September 16, 1938.
JOHN W. HANES,
Acting Secretary of the Treasury.

Approved: September 19, 1938.
CHARLES EDISON,
Acting Secretary of the Navy.

[F. R. Doc. 38-2767; Filed, September 20, 1938; 4:20 p. m.]

AMENDMENT OF EXEMPTION ORDER PURSUANT TO SECTION 4 OF THE GOVERNMENT LOSSES IN SHIPMENT ACT

The Order of the Acting Secretary of the Treasury of August 12, 1937,[1] with regard to shipments of gold and silver coin or bullion to, from, between, or within foreign countries, is hereby amended to read as follows:

"Whereas section 4 of the Government Losses in Shipment Act (Public No. 192, 75th Congress, approved July 8, 1937) provides in part as follows:

"'On and after the effective date of the regulations prescribed under section 1, no executive department, * * * officer, or employee shall expend any money, or incur any obligation, for insurance, or for the payment of premiums on insurance, against loss, destruction, or damage in the shipment of valuables except as specifically authorized by the Secretary of the Treasury. The Secretary of the Treasury may give such authorization if he shall find that the risk of loss, destruction, or damage in such shipment cannot be adequately guarded against by the facilities of the United States or that the circumstances are such that adequate replacement cannot be provided under this Act.';

"and

"Whereas I find that the risk of loss, destruction, or damage in shipments of gold and silver coin or bullion to, from, between, or within foreign countries under the provisions of the Gold Reserve Act of 1934, as amended, and the Silver Purchase Act of 1934 cannot be adequately guarded against by the facilities of the United States:

"It is hereby ordered that any such shipment is excepted from the prohibitions contained in the first sentence of section 4 of the Government Losses in Shipment Act if, and to the extent that, adequate insurance at satisfactory rates can, in the opinion of the Secretary of the Treasury, be obtained to cover such shipment.

"The Secretary of the Treasury may at any time supplement, amend, or revoke this Order."

[SEAL] H. MORGENTHAU, Jr.,
Secretary of the Treasury.

SEPTEMBER 20, 1938.

[F. R. Doc. 38-2768; Filed, September 20, 1938; 4:20 p. m.]

[1] 2 F. R. 1396 (1672 DI).

Notices

DEPARTMENT OF THE INTERIOR.

National Bituminous Coal Commission.

[General Docket No. 15]

IN THE MATTER OF THE ESTABLISHMENT OF MINIMUM PRICES AND MARKETING RULES AND REGULATIONS

NOTICE OF AND ORDER FOR HEARING IN MATTER OF PROPOSAL OF MINIMUM PRICES AND MARKETING RULES AND REGULATIONS SUBMITTED BY DISTRICT BOARDS FOR DISTRICTS NOS. 1, 2, 3, 4, 5, 6, 7, AND 8 AND BY DISTRICT BOARD NO. 13 FOR SO MUCH OF DISTRICT NO. 13 AS IS IN MINIMUM PRICE AREA NO. 1

Pursuant to Act of Congress entitled "An Act to Regulate Interstate Commerce in Bituminous Coal, and for Other Purposes" (Public No. 48, 75th Cong., 1st Sess.), known as the Bituminous Coal Act of 1937, the National Bituminous Coal Commission hereby orders and directs:

1. That notice be and the same hereby is given to all interested parties that a hearing in the above entitled matter shall be held before the Commission, commencing on the 10th day of October, 1938, at 10:00 o'clock A. M., in the Hearing Room of the Commission at 15th and Eye Streets, N. W., Washington, D. C., for the purpose of receiving evidence relating to the proposals of the minimum prices and marketing rules and regulations submitted by District Boards Nos. 1, 2, 3, 4, 5, 6, 7, 8 and by District Board No. 13 (for so much of the district as is in Minimum Price Area No. 1), to the Commission, pursuant to Orders Nos. 247, 248 and 251,[1] dated August 11, 1938, and August 20, 1938, to enable the Commission to approve or disapprove such proposed minimum prices and marketing rules and regulations or to enable the Commission to modify such proposed minimum prices in conformity with the requirements of Section 4–II (a) of the Act, or to enable the Commission to modify the proposed marketing rules and regulations, as provided in said Section 4–II (a) of the Act, in order that such proposed minimum prices and marketing rules and regulations, as approved, or modified, as the case may be, may serve as the basis for the coordination as provided by Section

[1] 3 F. R. 1988, 1989, 2058 DI.

4–II (b) of the Act, at which time all interested parties will be afforded an opportunity to be heard.

2. That at said hearing the Commission will receive evidence relating to the kinds, qualities, and sizes of coal produced in each of the aforesaid districts, and evidence relating to the classification of such coal, price variations as to mines, consuming market areas, values as to uses and seasonal demand, and evidence as to whether or not such proposed minimum prices conform, or in what respect they should be modified so as to conform, to the following requirements of Subsection (a) of Part II, Section 4 of the Act:

A. The proposed minimum prices for each of the aforesaid districts shall yield a return, per net ton, for such districts, equal as nearly as may be to the weighted average of the total costs, per net ton, of the tonnage of the minimum price area within which such district is located, as said weighted average heretofore has been determined by order of the Commission dated August 10, 1938,[1] in this proceeding.

B. They shall reflect, as nearly as possible, the relative market value of the various kinds, qualities and sizes of coal to which they are applicable.

C. They shall be just and equitable as between producers within the district.

D. They shall have due regard to the interests of the consuming public.

E. They shall be just and equitable as between producers within the district, for any kind, quality or size of coal for shipment into any consuming market area.

F. They shall not permit dumping.

At said hearing the Commission will also receive evidence as to whether or not such proposed marketing rules and regulations are consistent with the requirements of Section 4–II (a) of the Act, and conform to the standards of fair competition established by the Act, or in what respect they should be modified to be made consistent with the requirements of Section 4–II (a) of the Act, and to conform to the standards of fair competition established by said Act.

3. That the Secretary is hereby directed to cause copies of the aforesaid proposals to be made available forthwith for inspection by interested parties at the Office of the Secretary of the Commission at Washington, D. C., and at the office of each Statistical Bureau of the Commission within each of District Nos. 1, 2, 3, 4, 5, 6, 7, 8, and 13.

4. That the Secretary of the Commission shall cause a copy of this Notice of and Order for Hearing to be published forthwith in the FEDERAL REGISTER and in two consecutive issues of a newspaper of general circulation in each of the aforesaid districts, and shall cause copies hereof to be mailed to each Code member, the Consumers' Counsel, and to the Secretary of each District Board, and to be made available for inspection in each of the Statistical Bureaus of the Commission.

By order of the Commission.

Dated this 19th day of September, 1938.

[SEAL] F. WITCHER MCCULLOUGH,
Secretary.

[F. R. Doc. 38–2769; Filed, September 21, 1938; 10:19 a. m.]

[Docket No. 497–FD]

IN THE MATTER OF APPLICATION OF FAIRMONT COALS, INC., FOR PROVISIONAL APPROVAL AS A MARKETING AGENCY

NOTICE OF CONTINUANCE OF HEARING

The above entitled matter, having been previously noticed [1] for hearing for September 21, 1938, at 10 o'clock a. m., at the Hearing Room of the Commission, 15th and Eye Streets NW., Washington, D. C., and having been assigned to Examiner Hill McAlister to conduct said hearing, and the above named applicant having requested a continuance until the 26th day of September 1938, and having made proper showing therefor:

Notice is hereby given that the Hearing in the above entitled matter is continued to the 26th day of September 1938, at the same hour and place as provided in original notice.

A copy of this notice of continuance shall forthwith be mailed to the applicant above named, and to the secretary of each district board, and to the Consumers' Counsel, and a copy hereof shall be published in the FEDERAL REGISTER.

By order of the Examiner.

Dated this 19th day of September 1938.

[SEAL] F. WITCHER MCCULLOUGH,
Secretary.

[F. R. Doc. 38–2770; Filed, September 21, 1938; 10:19 a. m.]

[Docket Nos. 396–FD, 401–FD, 364–FD, 368–FD, 412–FD, and 383–FD]

IN THE MATTER OF THE APPLICATIONS FOR EXEMPTION BY C. A. RIGGEN COAL CO., HARVEY, IOWA; BRADLEY BROTHERS COAL CO., KNOXVILLE, IOWA; BECK COAL AND MINING CO., DES MOINES, IOWA; LITER COAL CO., CARLISLE, IOWA; MAHASKA COAL CO., OSKALOOSA, IOWA; AND DIAMOND BLOCK COAL CO., PELLA, IOWA

ORDER RESCINDING ORDER FOR AND NOTICE OF HEARINGS

The above named applicants, having filed with the Commission, pursuant to the second paragraph of Section 4–A, their respective applications for exemption from the provisions of Section 4 and the first paragraph of Section 4–A, of the Bituminous Coal Act of 1937; and

The Commission, having by its order for and notice of hearing, issued on the 31st day of August,[1] 1938, ordered and noticed a hearing on said applications for exemption to be held at the hearing room of the Commission in the Kirkwood Hotel, Des Moines, Iowa, on the 26th day of September, 1938; and

The above named applicants, with the exception of the Mahaska Coal Company, having filed with the Commission withdrawals, without prejudice, of their applications for exemption; and, the Commission, by its order dated the 19th day of September, 1938, having granted said withdrawals, without prejudice; and

The Commission, by its order dated the 19th day of September, 1938, having, on its own motion, dismissed without prejudice the application for exemption filed by the Mahaska Coal Company,

Now, therefore, it is hereby ordered:

1. That said order for and notice of hearings, dated the 31st day of August, 1938, providing for hearings to be held on the applications for exemption from the provisions of Section 4 and the first paragraph of Section 4–A, filed by the above named applicants be and the same hereby is, rescinded.

2. The Secretary of the Commission is directed forthwith to mail a copy of this order to each of the applicants above named or to their attorneys of record, to the Consumers' Counsel; to the Secretary of each District Board, to the Commissioner of Internal Revenue, and shall cause a copy hereof to be filed and made available for inspection at each of the Statistical Bureaus of the Commission; and shall cause a copy hereof to be published for two consecutive days in two newspapers of general circulation in the State of Iowa; and shall cause a copy hereof to be published in the FEDERAL REGISTER.

By order of the Commission.

Dated this 19th day of September, 1938.

[SEAL] F. WITCHER MCCULLOUGH,
Secretary.

[F. R. Doc. 38–2776; Filed, September 21, 1938; 12:57 p. m.]

RURAL ELECTRIFICATION ADMINISTRATION.

[Administrative Order No. 290]

ALLOCATION OF FUNDS FOR LOANS

SEPTEMBER 16, 1938.

By virtue of the authority vested in me by the provisions of Section 4 of the Rural Electrification Act of 1936, I hereby allocate, from the sums authorized by said Act, funds for loans for the projects and in the amounts as set forth in the following schedule:

[1] 3 F. R. 1987 (DI).

[1] 3 F. R. 2206 DI.

[1] 3 F. R. 2161 DI.

Project Designation.	*Amount*
Georgia R9069B1 Washington	$218,000
Georgia R9077A1 Forsyth	159,000
Georgia R9078A1 Habersham	183,000
Georgia R9083B1 Jackson	284,000
Georgia R9086A1 Seminole	300,000
Idaho R9011B1 Kootenai	45,000
Illinois R9021D1 Menard	299,000
Indiana R9008B1 Wabash	118,000
Indiana R9035A1 Jasper	241,000
Indiana R9047A1 Orange	128,000
Iowa R9053A1 Linn	228,000
Iowa R9056A1 Poweshiek	148,000
Kentucky R9021C1 Nelson	127,000
Michigan R9033B1 Charlevoix	440,000
Michigan R9033G1 Charlevoix	12,000
Michigan R9042A1 Mason	334,000
Minnesota R9037B1 Jackson	225,000
Minnesota R9073A1 Pipestone	131,000
Mississippi R9029B1 Oktibbeha	193,000
Missouri R9036A1 Audrian	246,000
Montana R9010B1 Madison	118,000
Oklahoma R9008D1 Oklahoma	111,500
Oregon R9017A1 Douglas	132,000
South Dakota R9003B1 Clay	50,000
Tennessee R9020D1 Gibson	40,000
Texas R9038B1 Hill	147,000
Texas R9048B1 Hidalgo	236,000
Texas R9056B1 Lubbock	140,000
Texas R9068A1 Cooke	178,000
Utah R9006A1 Garfield	137,000
Utah R9006G1 Garfield	40,000
Utah R9008A1 Duchesne	74,000
Wisconsin R9040C1 Barron	61,000
Wisconsin R9046B1 Lafayette	94,000
Wisconsin R9049C1 Dunn	188,000

JOHN M. CARMODY,
Administrator.

[F. R. Doc. 38-2771; Filed, September 21, 1938; 10:24 a. m.]

[Administrative Order No. 291]

ALLOCATION OF FUNDS FOR LOANS

SEPTEMBER 16, 1938.

By virtue of the authority vested in me by the provisions of Section 5 of the Rural Electrification Act of 1936, I hereby allocate, from the sums authorized by said Act, funds for loans for the projects and in the amounts as set forth in the following schedule:

Project Designation	*Amount*
Michigan R9039W3 Van Buren	$10,000
Minnesota R9055W2 Watonwan	30,000
Nebraska R9053W1 Buffalo	7,000
Ohio R9084W1 Carroll	5,000
Wisconsin R9037W2 Trempealeau	5,000

JOHN M. CARMODY,
Administrator.

[F. R. Doc. 38-2772; Filed, September 21, 1938; 10:24 a. m.]

SECURITIES AND EXCHANGE COMMISSION.

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission, held at its office in the City of Washington, D. C., on the 19th day of September, A. D. 1938.

[File Nos. 56-9 and 46-110; 46-111, 47-26, 32-102 and 43-153; 44-15]

IN THE MATTERS OF AMERICAN LIGHT & TRACTION COMPANY, MICHIGAN CONSOLIDATED GAS COMPANY, GRAND RAPIDS GAS LIGHT COMPANY, WASHTENAW GAS COMPANY, AND MUSKEGON GAS COMPANY

ORDER

American Light & Traction Company, a registered holding company, and Michigan Consolidated Gas Company (formerly Detroit City Gas Company), Grand Rapids Gas Light Company, Muskegon Gas Company, and Washtenaw Gas Company, subsidiary companies of American Light & Traction Company, having filed the following applications and declaration and amendments thereto, pursuant to Section 10, Section 6 (b) and Section 7 of the Public Utility Holding Company Act of 1935 and to Rules U-12C-1, U-12C-2 and U-12D-1 adopted by this Commission under that Act:

1. An application (File No. 56-9) by American Light & Traction Company for approval, pursuant to Rule U-12D-1, of its sale to Michigan Consolidated Gas Company of all the shares of capital stock of Grand Rapids Gas Light Company, Muskegon Gas Company, and Washtenaw Gas Company, in consideration of the issue to the applicant of 96,103 shares of common stock of Michigan Consolidated Gas Company of the par value of $100 each, and an application (File No. 46-110) for approval of the acquisition by the applicant of said securities to be issued by Michigan Consolidated Gas Company;

2. An application (File No. 46-111) by Michigan Consolidated Gas Company for approval, pursuant to Section 10, of its acquisition of the capital stocks to be sold to it by American Light & Traction Company as above stated;

3. An application (File No. 47-26) by Michigan Consolidated Gas Company for approval, pursuant to Section 10, of its acquisition of the assets of Grand Rapids Gas Light Company, Muskegon Gas Company and Washtenaw Gas Company;

4. Applications by Grand Rapids Gas Light Company (File No. 44-15), Muskegon Gas Company (File No. 44-15), and Washtenaw Gas Company (File No. 44-15), for approval, pursuant to Rule U-12C-1, of their acquisition of first mortgage bonds, notes and other obligations issued by them, respectively, which are to be donated to them by American Light & Traction Company as paid-in surplus, and for approval, pursuant to Rule U-12C-2, of the transfer by said applicants of their respective assets as liquidating dividends to Michigan Consolidated Gas Company as the sole stockholder of each of said applicants.

5. An application by Michigan Consolidated Gas Company (File No. 32-102) for exemption, pursuant to Section 6 (b), from the provisions of Section 6 (a) of said Act of—

(a) the issue and sale of 96,103 shares of its common stock of the par value of $100 each to be issued for the purposes stated in paragraph (1) above;

(b) the assumption of the principal amount of $2,223,000 of First Mortgage Bonds of the Grand Rapids Gas Light Company;

(c) the assumption of the principal amount of $555,000 of First Mortgage Bonds of the Washtenaw Gas Company; and

(d) the issue and sale, through underwriters, of the principal amount of $34,000,000 of First Mortgage Bonds, 4% Series due 1963, and the principal amount of $8,000,000 of 4% Serial Notes due August 1, 1939 to August 1, 1948;

the issue and sale and assumption of such securities as aforesaid having been expressly authorized by the Michigan Public Utilities Commission;

6. Public hearing on said matters having been held after appropriate notice,[1] and the Commission having considered the record in these matters and having made and filed its findings and opinion herein except as to the application of Michigan Consolidated Gas Company (File No. 32-102) referred to in paragraph 5 (d) hereof, the hearing in said matter not having been completed and the record therein not having been fully made;

It is ordered, That said applications, as amended, with the exception of the application of Michigan Consolidated Gas Company (File No. 32-102) referred to in paragraph 5 (d) hereof and filed pursuant to Section 6 (b) of said Act, be granted, all subject, however, to the following terms and conditions:

(a) That American Light & Traction Company shall enter upon its books of account the 96,103 shares of common stock of Michigan Consolidated Gas Company heretofore referred to at the aggregate par value thereof, to wit, $9,610,300 and that it charge to its earned surplus account $3,159,603.61, said amount being the difference between $12,769,903.61 which is the net amount at which the above-mentioned securities of Grand Rapids Gas Light Company, Muskegon Gas Company and Washtenaw Gas Company are carried on the books of American Light & Traction Company and the aggregate par value of $9,610,300 of said shares of common stock of Michigan Consolidated Gas Company, such entries being hereby approved pursuant to Instruction 8C of the Uniform System of Accounts for Public Utility Holding Companies under the Public Utility Holding Company Act of 1935; and

(b) That all matters connected with said applications, as amended, shall be performed in all respects as set forth in, and for the purposes represented by, said applications, as amended.

It is further ordered, That jurisdiction of the Commission be and is hereby

[1] 3 F. R. 2164 DI.

reserved with the respect to the matter of the application referred to in paragraph 5 (d) hereof of Michigan Consolidated Gas Company for exemption of the issue and sale of First Mortgage Bonds and Serial Notes from the provisions of Section 6 (a) of said Act, and to make such order or orders therein as the Commission deems appropriate upon the conclusion of the hearing in respect of said application.

By the Commission.

[SEAL] FRANCIS P. BRASSOR,
Secretary.

[F. R. Doc. 38-2774; Filed, September 21, 1938; 12:41 p. m.]

United States of America—Before the Securities and Exchange Commisson

At a regular session of the Securities and Exchange Commission, held at its office in the City of Washington, D. C., on the 20th day of September, A. D. 1938.

[File Nos. 34-8, 52-3, 52-5, 52-9, 52-10, and 59-1]

IN THE MATTER OF UTILITIES POWER & LIGHT CORPORATION AND CHARLES TRUE ADAMS, TRUSTEE

ORDER

Harry Reid, Max McGraw, and B. B. Robinson, representing themselves as the "General Protective Committee for Security Holders of Utilities Power & Light Corporation" having heretofore filed a petition to intervene in the above entitled proceedings; and

The Commission having on September 16, 1938 entered an Order[1] granting such petition subject to certain conditions contained in said Order, and having on the same day entered its Memorandum Opinion in this matter; and

Counsel to said Committee having on September 19, 1938 moved that the Commission grant a rehearing with respect to said Memorandum Opinion; and

A rehearing on said matter having been granted and held on September 19, 1938:

It is ordered, That said Memorandum Opinion be amended in the following respects:

1. There shall be stricken from the fourth paragraph of said Memorandum Opinion the sentence reading as follows: "It is clear from the record that the Committee was organized by Howard C. Hopson, on behalf of Associated Gas and Electric Company system, and that every member of the Committee and its secretary and counsel are in some fashion linked with the Associated interests"; and there shall be substituted in lieu thereof the following: "It is clear from the record that the Committee was organized by Howard C. Hopson, and that every member of the Committee and its secretary and counsel are in some fashion linked with the Associated interests, and it is our conclusion that it was so organized on behalf of Associated Gas and Electric Company system."

2. There shall be stricken from the fifth paragraph of said Memorandum Opinion the sentence reading as follows: "Associated owns some securities of each class which the Committee claims to represent—which includes every class of security which the debtor has outstanding"; and there shall be substituted in lieu thereof the following: "Associated owns some debentures and A, B, and common stocks of the debtor, all of which are also represented by the Committee which also purports to represent preferred stock";

It is further ordered, That the aforesaid Order and Memorandum Opinion of the Commission stand as the Order and Opinion of the Commission in this matter, with the changes to said Memorandum Opinion noted above.

By the Commission.

[SEAL] FRANCIS P. BRASSOR,
Secretary.

[F. R. Doc. 38-2775; Filed, September 21, 1938; 12:41 p. m.]

[1] 3 F. R. 2258 DI.